of the mistake, surprise, inadvertence, or neglect of his adversary." (*Au-Yang v. Barton* (1999) 21 Cal.4th 958, 963 quoting *Weitz v. Yankosky* (1966) 63 Cal.2d 849, 855.)

- "Because the law favors disposing of cases on their merits, 'any doubt in applying [CCP] section 473 must be resolved in favor of the party seeking relief from default." (*Rappleyea v. Campbell* (1994) 8 Cal.4th 975, 980 quoting *Elston v. City of Turlock* (1985) 38 Cal.3d 227, 233.)
- "[V]ery slight evidence will be required to justify a court in setting aside the default." (*Elston, supra*, 38 Cal.3d at 233

Plaintiffs' arguments regarding defense counsel's actions being a deliberate strategic decision that does not amount to a mistake, inadvertence, or neglect are not well taken. Plaintiffs have also failed to show any prejudice by allowing the defaults to be set aside.

Conclusion

Based on the above, Defendants' Motion is **GRANTED**. The defaults entered on August 26, 2025, are set aside. Defendants shall file their responsive pleadings within ten (10) days of notice of entry of the Order on this Motion.

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6. 9:00 AM CASE NUMBER: C24-03119
CASE NAME: CARL DEXTER VS. NEWREZ LLC
***HEARING ON MOTION IN RE: EXPUNGE LIS PENDENS**
FILED BY: NEWREZ LLC
****TENTATIVE RULING:****

Introduction

Before the Court is Defendant NewRez LLC dba Shellpoint Mortgage Servicing's ("Defendant Shellpoint") motion to expunge lis pendens and attorney's fees. The motion is brought under Code of Civil Procedure section 405.32 on the grounds that Plaintiff Carl Dexter, as administrator of The Estate of Gene E. Jeter. Jr. cannot prove the probable validity of his real property claim by a preponderance of the evidence.

For the following reasons, **Defendant's motion is GRANTED, and each party shall bear their own fees and costs.**

Factual Background

Gene E. Jeter, Jr. was given a loan for the Property which was secured by a Deed of Trust ("DOT") executed on July 26, 2021. (Foster Decl. at ¶ 3, Exhibit 1.) The DOT is in favor of Mortgage Electronic Registration Systems, Inc., as nominee for Premier Mortgage Resources, LLC (See, Exhibit 1.) Mr. Jeter passed away in June 2022. (Complaint ¶1.)

The beneficial interest in the DOT transferred to NewRez LLC dba Shellpoint Mortgage Servicing ("Defendant"), as memorialized by the Corporate Assignment of Deed of Trust (Foster Decl. at ¶ 4, Exhibit 2.) The loan became delinquent. Defendant substituted Prestige Default Services LLC as the new Trustee, with the Substitution of Trustee recorded on April 12, 2024. (Foster Decl. at ¶ 5, Exhibit 3.) Prestige Default Services, LLC caused a Notice of Default and Election to Sell Under Deed of Trust to be recorded and served formally commencing the non-judicial foreclosure process. (Foster Decl. at ¶ 6, Exhibit 4.) On July 12, 2024, Prestige caused a Notice of Trustee Sale to be recorded, served and published. The sale date was set for August 27, 2024. (Foster Decl. at ¶ 7, Exhibit 5.) The sale date of August 27, 2024, was postponed. The new sale date was October 8, 2024. (Foster Decl. at ¶ 8.)

On October 8, 2024, the Trustee, Prestige Default Services, LLC, conducted the nonjudicial foreclosure sale. Defendant placed the winning credit bid, and the sale was completed, thereby extinguishing any interest Plaintiff may have had in the Property and terminating the right to reinstate or redeem the loan. (Foster Decl. at ¶ 9, Exhibit 7.) The transfer of title was memorialized by the Trustee's Deed Upon Sale (TDUS), which confirmed the sale date and was recorded on November 26, 2024, conveying the Property to Defendant (Foster Decl. at ¶ 9, Exhibit 7). The sale was in the amount of $359,366.48 for the unpaid debt.

On the sale date, October 8, 2024, Plaintiff called and requested a postponement of the foreclosure sale. Plaintiff was told by Defendant Shellpoint that the account could not be discussed because the successor in interest had not been set up yet. (Foster Decl. at ¶ 10, Exhibit 8). On October 14, 2024, Defendant's representative spoke with Plaintiff. Plaintiff stated that he wished to catch up on the loan. Plaintiff was advised this was not possible as the sale had occurred. (Foster Decl. at ¶ 10, Exhibit 8.)

On October 18, 2024, Plaintiff called again and was advised that the sale would not be reversed. On October 21, 2024, Plaintiff spoke with Defendant's representative and argued that the sale should be rescinded because the deed had not yet been recorded. Defendant's representative advised Plaintiff that it does not typically rescind sales without an error. (Foster Decl. at ¶ 11, Exhibit 8.) On October 22, 2024, Plaintiff made two calls, inquiring about reversal. On October 23, 2024, Plaintiff called again.

On October 24, 2024, Plaintiff called to request the reinstatement amount and wiring instructions but was informed by Defendant's representative that the loan could not be reinstated because the home was sold and the funds would be sent back. (Foster Decl. at ¶ 12, Exhibit 8.) On November 4, 2024, Defendant Shellpoint received a wire sent by Plaintiff in the amount of $28,335.72. The funds were sent back to Plaintiff. (Foster Decl. at ¶ 13, Exhibit 8.)

The Court notes that the Complaint, filed on November 19, 2024, alleges that there will be a future controversy since Plaintiff anticipated Defendant Shellpoint to return his October 28, 2024, reinstatement payment. (Complaint ¶ 17.) Indeed, this came to pass, as Plaintiff confirmed that the October 28, 2024, reinstatement payment was returned a mere couple of days after the filing of the Complaint on November 21, 2024. (Oppo at p. 5:17-18.)

Legal Standard for Expunging Lis Pendens

The purpose of a lis pendens is "to give constructive notice of an action affecting real property to persons who subsequently acquire an interest in that property, so that the judgment in the action will be binding on such persons even if they acquire their interest before the judgment is actually rendered." (*Bishop Creek Lodge v. Scira* (1996) 46 Cal.App.4th 1721, 1733.) "As a practical matter, the filing of a lis pendens usually clouds the title to the property and prevents its transfer until the litigation is resolved or the lis pendens is expunged." (*Malcolm v. Superior Court of Santa Clara County* (1981) 29 Cal.3d 518, 523, fn. 2.) Under Code Civ. Proc. § 405.30, at any time after a notice of pendency of action has been recorded, any party with an interest in the real property may apply to the Court to expunge the notice.

"The expungement statutes provide that a lis pendens may be expunged on three grounds: (1) 'the pleading on which the notice is based does not contain a real property claim' (Code Civ. Proc., § 405.31); (2) 'the claimant has not established by a preponderance of the evidence the probable validity of the real property claim' (Code Civ. Proc., § 405.32); or (3) 'adequate relief can be secured to the claimant by the giving of an undertaking' (Code Civ. Proc., § 405.33)." (*Carr v. Rosien* (2015) 238 Cal.App.4th 845, 857.) Probable validity is met when the Plaintiff establishes her claim by a preponderance of the evidence. (Code Civ. Proc., § 405.32.)

"Unlike most other motions, when a motion to expunge is brought, the burden is on the party opposing the motion to show the existence of a real property claim." (*Kirkeby v. Superior Court* (2004) 33 Cal.4th 642, 647 citing Cal. Code Civ. Proc. § 405.30.)

<u>Analysis</u>

Real Property Claim

As noted above, a "lis pendens may be expunged if the action does not contain a real property claim or the claimant fails to establish the probable validity of the real property claim." (*Newell v. Superior Court* (2024) 107 Cal.App.5th 728, 735; quoting *De Martini v. Superior Court* (2024) 98 Cal.App.5th 1269, 1275.)

"In making [determination as to whether a real property claim is being asserted], the court must engage in a demurrer-like analysis." (*Park 100 Investment Group II, LLC v. Ryan* (2009) 180 Cal.App.4th 795, 808; quoting *Kirkeby v. Superior Court* (2004) 33 Cal.4th 642, 647-48.) "Rather than analyzing whether the pleading states any claim at all, as on a general demurrer, the court must undertake the more limited analysis of whether the pleading states a real property claim. [cite] Review 'involves only a review of the adequacy of the pleading and normally should not involve evidence from either side, other than possibly that which may be judicially notices as on a demurrer. [cite]." (*Id.* at 808-09 internal citations omitted.)

The statute provides no further definition of "affect … title to, or the right to possession of," specific real property, nor has caselaw provided any abstract definition. (*BGJ Associates, LLC v. Superior Court* (1999) 75 Cal.App.4th 952, 967.) Caselaw has determined that certain types of actions clearly do, or clearly do not, affect title or possession. (Id.) At one extreme, a buyer's action for specific performance of a real property purchase and sale agreement is a classic example of an action in which a lis pendens is both appropriate and necessary. (Id.) At the other extreme, an action solely seeking money damages, even if it relates in some way to specific real property, will not support a lis pendens. (Id.) Fraudulent conveyance claims also support a lis pendens. (See Id. at 970.) A declaratory relief claim may also constitute a real property claim that supports a lis pendens. (*Mason v. Superior Court* (1985) 163 Cal.App.3d 989, 999 (superseded on other grounds).)

Although the Complaint does not formally list a cause of action in a heading or otherwise, the Complaint's prayer asks for the determination that Shellpoint accepted the $28,355.72 sent by Dexter on October 28, 2024, that such acceptance constituted a reinstatement of the Deed of Trust, and the determination that Plaintiff is the legal owner of the subject property subject to the Deed of Trust that Shellpoint was the beneficiary to.

The Court is not persuaded by Defendant's interpretation that the action is no longer a claim for title or possession; it is merely a claim about the temporary handling of returned funds. (Motion at p. 6: 6-11.) The Complaint in its prayer for relief asks for determinations of title through declaratory relief. (Complaint at p. 4: 1-7.) Thus, Plaintiff's Complaint contains a real property claim.

Probable Validity of Prevailing on the Real Property Claim

Defendant contends that Plaintiff has not established by a preponderance of the evidence the probable validity of the real property claim. (Code Civ. Proc., § 405.32.) The Court agrees.

Validity of Debt and Foreclosure Sale

Plaintiff has not disputed the fact that the loan was in default nor asserted that the foreclosure sale was improper. All of Plaintiff's allegations involve wrongful conduct based on a post-sale tender of funds.

Post Sale Payment Cannot Revive Expired Reinstatement Rights

Civil Code section 2924c(e), provides that reinstatement rights terminate "five business days prior to the date of sale." After the five business days expire, Plaintiff only has a right to tender of the full past-due amount of indebtedness before the foreclosure sale. (*Crossroads Investors, L.P. v. Federal National Mortgage Assn*. (2017) 13 Cal.App.5th 757, 778; See also *Moeller v. Lien* (1994) 25 Cal.App.4th 822, 831.) Once the trustee's sale is completed, the borrower has no further rights of redemption. (Id.)

On October 8, 2024, the nonjudicial foreclosure sale was conducted. Defendant Shellpoint placed a winning credit bid of $359,366.48, extinguishing Plaintiff's interest and right to reinstate the loan (Foster Decl. ¶ 9, Ex. 7.) Although the Plaintiff requested a postponement on the sale date, Defendant declined to discuss the account with Plaintiff because Plaintiff had not been established as the successor in interest yet. (Foster Decl. ¶ 10, Ex. 8.) Plaintiff did not have his status as successor in interest confirmed by Defendant until the day of the foreclosure sale on October 8, 2024. (Complaint ¶ 13.) At that time, Plaintiff's reinstatement rights had expired which meant Plaintiff's only way to stop the sale would have been to tender the full amount of the underlying debt. (*Crossroads Investors, L.P. v. Federal National Mortgage Assn.* (2017) 13 Cal.App.5th 757, 777-778.)

On November 4, 2024, Plaintiff wired $28,335.72, which Defendant subsequently returned (Foster Decl. ¶ 12.) Plaintiff's attempt to reinstate on November 4, 2024, was too late to exercise reinstatement rights that had already expired under Civil Code Section 2924c.

The fundamental basis of an action for declaratory relief is the existence of an actual, present controversy over the proper subject. (*Otay Land Co. v. Royal Indem. Co* (2008) 169 Cal.App.4th 556, 562.) A request for declaratory relief will not create a cause of action that otherwise does not exist; rather, an actual, present controversy must be pleaded specifically and the facts of the respective claims concerning the underlying subject must be given. (*City of Cotati v. Cashman* (2002) 29 Cal.4th

69, 80.) Further, declaratory relief is not an independent cause of action, but a form of equitable relief. (*Batt v. City and County of San Francisco* (2007) 155 Cal.App.4th 65, 82.) Thus, a dismissal of a claim for declaratory relief is proper where that claim is wholly derivative of other failed causes of action. (*Ball v. FleetBoston Financial Corp.* (2008) 164 Cal.App.4th 794, 800.)

Here, the thrust of Plaintiff's argument is that he paid the reinstatement amount after the Trustee Sale of the subject property had already been conducted. (Complaint ¶ 17.) Defendant Shellpoint has presented statutory and case authority in support of its position that Plaintiff's opportunity to reinstate the subject Deed of Trust had already expired when he wired the funds after the Trustee Sale had been conducted. (Motion at pp. 6-8.) Plaintiff admits that he received his October 28, 2024, $28,355.72 payment back from Defendant Shellpoint on November 21, 2024

Thus, Plaintiff has not made the requisite showing by a preponderance of the evidence the probable validity of his real property claim.

Attorney's Fees Under CCP 405.38

"The court shall direct the party prevailing on any motion under this chapter be awarded the reasonable attorney's fees and costs of making or opposing the motion unless the court finds that the other party acted with substantial justification or that other circumstances make the imposition of attorney's fees and costs unjust." (Code Civ. Proc., § 405.38 (Deering).) "When a lis pendens is withdrawn while a motion to expunge is pending, a moving party is not automatically entitled to attorney fees, nor automatically denied attorney fees, under CCP § 405.38. Instead, based on the practical approach to the award of attorney fees, the trial court has the discretion to award attorney fees based on a determination of which party would have prevailed on the motion, and whether the lis pendens claimant acted with substantial justification in withdrawing the lis pendens, or whether, in light of all of the circumstances, the imposition of fees would otherwise be unjust." (*Castro v. Superior Court* (2004) 116 Cal.App.4th 1010.)

The party subject to sanctions bears the burden to establish it acted with substantial justification or other circumstances make the imposition of the sanction unjust. (See *Doe v. United States Swimming, Inc.* (2011) 200 Cal.App.4th 1424, 1434.) Substantial justification means clearly reasonable justification that is well grounded in both law and fact. (*Padron v. Watchtower Bible & Tract Society of New York, Inc.* (2017) 16 Cal.App.5th 1246, 1269; citing *Diepenbrock v. Brown* (2012) 208 Cal.App.4th 743, 747.)

Plaintiff wired Defendant the reinstatement amount and Defendant did not return Plaintiff's payment until a couple days after the Complaint was filed. In his Declaration Plaintiff states that he had been communicating with representatives of Defendant Shellpoint since August 19, 2024, and was unable to obtain the reinstatement amount or wiring instructions until October 23, 2024, weeks after the Trustee Sale took place. (Oppo at p. 3: 8-27; Ex. 2.) In sum, Plaintiff made a request for reinstatement before the sale, Defendant did not respond with the information Plaintiff needed to reinstate the loan until after the sale, the subject property was not purchased by a bona fide third-party purchaser since Defendant purchased the property at the sale, and the Trustees Deed Upon Sale has not yet been recorded. Considering that Plaintiff reached out to Defendant over six weeks before the sale and was unable to receive a reinstatement quote and wiring instructions until weeks after the sale took place, and that there was no third party bona fide purchaser since Defendant bought the subject property at the sale, and that the Trustees Deed Upon Sale had not yet been recorded, it was reasonable for Plaintiff to believe his position had substantial support. Both parties are to pay their own attorney's fees.

Conclusion

Based on the above, **Defendant's motion is GRANTED, and each party shall bear their own fees and costs.**

7. 9:00 AM CASE NUMBER: C25-00811
CASE NAME: A.V.P. VS. WEST CONTRA COSTA UNIFIED SCHOOL DISTRICT
HEARING ON DEMURRER TO: 1ST AMENDED COMPLAINT
FILED BY: WEST CONTRA COSTA UNIFIED SCHOOL DISTRICT
****TENTATIVE RULING:****

Withdrawn by moving party.

8. 9:00 AM CASE NUMBER: C25-01235
CASE NAME: CHARLES CAUFFIELD VS. CATHERINE AMOURIS
HEARING ON DEMURRER TO: CROSS COMPLAINT OF CATHERINE AMOURIS - CONTINUED FROM 2/2/26
FILED BY:
****TENTATIVE RULING:****

Plaintiff and cross-defendant Charles Cauffield ("Cross-Defendant") brings this demurrer to the Cross-Complaint of defendant and cross-complainant Catherine Amouris ("Cross-Complainant"), asserting that the second (intentional misrepresentation), third (negligent misrepresentation), and fourth (fraud – suppression of fact) causes of action do not state facts sufficient to constitute a cause of action. Specifically, Cross-Defendant argues that Cross-Complainant's fraud-based causes of action are barred by the statute of limitations and are not pleaded with the requisite specificity.

For the reasons discussed below, the Court sustains Cross-Defendant's demurrer to the second (intentional misrepresentation), third (negligent misrepresentation), and fourth (fraud – suppression of fact) causes of action, with leave to amend. Cross-Complainant may file and serve an amended cross-complaint within 10 days of notice of entry of this order. (Code Civ. Proc. § 472b; California Rules of Court, Rule 3.1320(g).)

Meet and Confer

The meet and confer requirement has been satisfied. (Paymon Hifai Decl., ¶¶ 1-2; Code Civ Proc., § 430.41.)

Legal Standard for Demurrer

In ruling on a demurrer, a court must treat as true all properly pleaded material facts contained in the complaint, but not contentions, deductions or conclusions of fact or law. (*Blank v. Kirwan* (1985) 39